



DigitalOcean Holdings (DOCN)

Horizon: Swing (1-4 wk) · Bias tested: Neutral · As of 03 Jun 2026

AVOID

CMP \$173.07	52W H / L \$177.00 / \$25.56	MKT CAP \$18.1B	P/E (TTM) VS SECTOR 77x vs ~32x	ROE / ROCE n/m (Levered eq.)
PROMOTER (Δ, PLEDGE) N/A	FII / DII Δ N/A	BETA 1.42	ADV ~2.1M sh (~\$360M)	NET DEBT ~\$0.4B net cash; →~3x YE26

⚡ PRIMARY CATALYST — THE REASON IT MOVES NOW

31 MW of new GPU capacity (3 facilities) ramps in H2 2026 — the engine behind management's raised 2027 guide of 50%+ revenue growth (up from 30%); execution on that ramp is the single variable that justifies or breaks the 77x multiple.

CATEGORY	QUANTIFIED IMPACT	PROBABILITY	WINDOW
Financial Inflection / Capacity	2027 rev growth guide 30% → 50%+; AI ARR \$170M (+221% YoY), inference +487%	MEDIUM	H2 2026 (6 MW first, 25 MW H2); first proof Q2 print 12 Aug 2026

Priced in? Largely. Stock +577% off the 52W low and at 77x TTM P/E sitting at its 52W high — the market is pricing a clean, on-schedule ramp. Skew is asymmetric: little upside left if it executes, sharp de-rate if it slips. · Source: Q1 2026 earnings + concall, 05 May 2026

BULL

\$200-215

Ramp on schedule; Q2/Q3 beat & 2027 50%+ reaffirmed/raised (+15-25%)

BASE

\$165-180

In-line ramp; multiple holds; drifts with AI-cloud momentum (flat ±5%)

BEAR

\$120-135

Ramp slips / AI-capex digestion → multiple compresses (-22% to -30%)

DOCN has re-rated from \$25 to \$173 as the market's "inference-cloud" pick on 221% AI-ARR growth; the next leg needs the H2-2026 GPU ramp to convert the raised 2027 50%+ guide into actual prints — but at 77x TTM and sitting at a 52W high with no hard catalyst inside the 1-4 week swing window (Q2 isn't until 12 Aug), the risk/reward here is balanced-to-poor.

CATALYST LADDER — SECONDARY TRIGGERS, RANKED BY IMPACT × PROBABILITY

TYPE	EVENT	QUANTIFIED IMPACT	PROB	TIMELINE	SOURCE / DATE
Financial	Q2 2026 earnings — first read on H2 capacity ramp & reaffirm of 2027 50%+	High — sets the entire H2 narrative	H	12 Aug 2026 (BMO)	TipRanks / co. cal
Demand	AI / inference ARR trajectory — inference now 64% of AI ARR, +487% YoY	High — core re-rating driver	M	Ongoing → Q2/Q3	Q1'26 slides, 05 May'26
Capacity	GPU capacity-online milestones — ~6 MW ramps first, then 25 MW H2	Med-High — unlocks the 2027 guide	M	H2 2026	Q1'26 concall, 05 May'26
Guidance	Further 2027 guide raise (already 50%+ from 30%)	High if it happens	L	Q3'26 / Q4'26	Q1'26 outlook
Capital action	\$500M Term Loan A repaid; \$312M 2026 converts to retire at maturity; leveraging to ~3x by YE26	Med — funds capex, adds leverage	H	2026	Q1'26 10-Q, 05 May'26

TYPE	EVENT	QUANTIFIED IMPACT	PROB	TIMELINE	SOURCE / DATE
Margin	Up to \$100M one-time capacity startup costs compress FY26 EBITDA margin to 37–39% (vs 41% Q1)	Med — guided headwind	H	H2 2026	FY26 guide, 05 May'26
Competition	Hyperscalers (AWS/Azure/GCP) + CoreWeave/Lambda in GPU cloud — pricing pressure	Med — qualitative	M	Ongoing	Industry, 2026

WHAT THE STREET IS PRICING IN

Consensus **Buy** (≈33% Strong Buy / 42% Buy / 25% Hold; 0% Sell). Post-Q1 targets were raised sharply — recent prints cluster **\$160–\$177** (UBS \$160–175; stockanalysis avg ~\$177), implying the stock is already **at** the average target. Older pre-run medians (~\$100, range \$57–\$115) are now stale. **IN the price:** a clean H2 capacity ramp, sustained 200%+ AI-ARR momentum, and the 2027 50%+ growth guide converting to prints. **NOT in the price:** any ramp slippage, AI-capex digestion, margin pressure beyond the guided \$100M startup costs, or multiple compression off the 77x bar.

KEY LEVELS & TRADE FRAME

Entry zone	\$160–166 (approx — verify on chart)
Stop (below breakout base)	\$148 (approx)
Target 1 / Target 2	\$185 / \$200 (approx)
R:R · suggested size	~1.5:1 to T1 · 1–2% cap (high β)

CATALYST CALENDAR

DATE	EVENT
H2 2026	~6 MW GPU capacity begins ramping; 25 MW more turns on
12 Aug 2026	Q2 2026 earnings (before open) — first H2-ramp read
~Nov 2026	Q3 2026 earnings — capacity-online proof + 2027 reaffirm
Through 2026	2026 convertible notes (\$312M) retired at maturity

RISKS TO WATCH

RISK	TRIGGER	DOWNSIDE	PROB
Valuation de-rating	Any growth wobble at 77x TTM, stock at 52W high	–25–35%	H
Capacity ramp slip	31 MW across 3 sites, H2-weighted; construction/power delays	–20–30%	M
AI-capex digestion	Sector-wide GPU demand pause / inference price war	–20%	M
Margin / FCF compression	Up to \$100M startup costs; FY26 FCF margin only 9–12%	–10–15%	M
Leverage / dilution	Levering to ~3x net by YE26; post \$888M equity raise at \$77	–10%	M
AI-cohort churn	Concentration in fast-growing but young AI customer base	qualitative	L

AVOID

Strong business, wrong entry: at 77x TTM and a 52W high, with the next hard catalyst (Q2) outside the 1–4 week swing window, the neutral read is to **stand aside** — chasing here pays full price for a ramp that still has to prove itself. **Flips the call:** an early, on-schedule capacity-online confirmation or a Q2 beat reaffirming 2027 50%+ flips it to TACTICAL LONG; a ramp-slip or AI-demand scare opens TACTICAL SHORT.

MPM · SCREEN — ANALYZE — INVEST

For information only. Not investment advice or a solicitation. US-listed equity (NYSE); India-specific fields (promoter/FII-DII) are N/A. Figures cross-checked across sources; price × shares ≈ market cap consistent. Verify against latest filings before acting.

Sources: DOCN Q1 2026 8-K / 10-Q + earnings concall (05 May 2026); StockAnalysis.com quote (03 Jun 2026); Investing.com Q1'26 slides; Seeking Alpha; Benzinga / MarketBeat / TipRanks analyst data (Jun 2026). Discarded stale read: pre-run analyst medians (~\$100).

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